

Peer Reputation in the Nonprofit Sector: Its Role in Nonprofit Sector Management

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ABSTRACT

Reputation is a complex construct. Any one organization normally has several different reputations based on attributes and criteria of specific interest to different publics, constituencies, interest groups and/or stakeholders. Managers of nonprofit organizations need to think beyond how their organization is perceived by the general public and to be aware of the reputation their organization has among different key interest groups, how each of these reputations influences organizational performance and how each can be enhanced to improve performance. This paper extends the investigation of the importance of reputation to nonprofit organizations through an empirical study of the relationships between peer reputation and other nonprofit performance variables. It provides the first empirical evidence that an organization's reputation among managers of similar nonprofit organizations influences its success in attracting resources. It also provides empirical evidence that an organization's peer reputation is affected by other nonprofit performance factors, such as client satisfaction and effective governance. The scholarly and management implications of these findings are discussed.

INTRODUCTION

Reputation is recognized as being extremely important in the for-profit sector. It is an overall judgment of the extent to which an organization is held in high esteem or regard. Whereas 'image' reflects

what a firm stands for, 'reputation' reflects how well it has done in the marketplace (Weiss *et al.*, 1999). As a result, a good reputation is considered to have at least three strong strategic benefits:

1. It can give an organization preferred status over other organizations with products or services that are similar in quality or price;
2. It can justify support for the organization in times of controversy; and
3. It can enhance an organization's value in the marketplace (Greyser, 1999).

Less attention has been paid to reputation in the nonprofit sector. Discussions have generally focused on organizations, such as those in the arts and culture subsector, that are close to the private sector model in that at least some of their revenues (both earned and contributed) come from the clients/customers that they serve. The nonprofit literature has also been limited to a certain type of reputation, namely an organization's reputation among the general public. According to the for-profit literature, however, reputation is much more complex, with each organization normally having several different reputations based on attributes and criteria of specific interest to different publics, constituencies, interest groups, and/or stakeholders (Bromley, 2001; Caruana, 1997; Nguyen and Leblanc,

2001). Therefore, for strategic management purposes, nonprofit organizations need to think beyond how they are perceived by the general public and to be aware of the reputations they have among different key interest groups, how each of these reputations influences organizational performance, and how each can be enhanced to improve performance.

In the nonprofit sector, peers, that is, senior executives in other similar nonprofit organizations, are especially worthy of attention for several reasons. First, they are often used as judges to help make resource allocation decisions. A large portion of nonprofit revenues are derived from governments, foundations, and funding agencies such as the United Way and many of these decisions are made according to a jury process involving panels comprised primarily of people knowledgeable of the sector. Peers are not the only people who sit on these panels. Others, such as academics or business people, might also be used as judges. Peers are often used, however, because they have direct knowledge of the work that nonprofit organizations do. Secondly, representatives of the media invariably go to senior managers of peer organizations for commentary and insights about other nonprofits. These senior managers therefore play a key role in shaping public opinion which, in turn, may have an effect on both public and private sources of funding. Finally, the senior managers of peer organizations have a direct impact on the activity of similar nonprofits through the referrals they make when they are trying to deal with excess demand on the services of their own organizations. The number and type of referrals specific organizations receive undoubtedly influences both their need for funding and how they are regarded by others in the sector.

This paper seeks to extend the investigation of the importance of reputation to nonprofit organizations through an empiri-

cal study of the relationships between peer reputation and other nonprofit performance variables. It focuses specifically on social service organizations within the nonprofit sector, and provides the first empirical evidence that a nonprofit's reputation among managers of other similar nonprofits strongly influences its success in attracting resources. This paper is also a valuable addition to the general study of reputation, which has had few studies published to date that make an empirical link between reputation and the achievement of a key organizational goal (Hutton *et al.*, 2001).

LITERATURE REVIEW

The reputation held about an organization by each of the publics it deals with is formed on the basis of direct and indirect experiences and information, as well as results from the assessment of incomplete information received over time (Caruana, 1997). Reputation therefore acts as a substitute for detailed knowledge in the marketplace and is a 'facilitator of economic transactions in an uncertain world' (Morten, 1998: 122). Logically, the capacity for having direct and indirect experiences with a given organization, and for assessing incomplete information, varies by stakeholder group. For this reason, although the general public's perspective on an organization's reputation is important, peer reputation may be more credible and relevant to some economic transactions and the strategic planning associated with them. For example, in the private sector, management relies on peer opinion when it uses competitive analysis, which includes the reputations of different firms within an industry, to predict competitive action and to formulate customer offers to counter this action (Herbig and Milewicz, 1995).

In the nonprofit sector, Herman (1990) believes that reputation is so important that it should be considered an organizational

performance objective, along with client satisfaction, resource acquisition and outcome measures. He, however, effectively focuses on peer reputation because he maintains that the most relevant assessments of reputation are those made by people 'in positions that are likely to give them information about many similar organizations' (Herman, 1990: 299). This is consistent with the social constructionist view of nonprofit effectiveness, which holds that decisions in the sector are made or justified on the basis of beliefs or opinions about effectiveness held by key persons, such as 'outside professionals who are familiar with the organizations at hand' (Forbes, 1998: 186).

Unfortunately, peer reputation has received little attention from nonprofit researchers. This is possibly related to the fact that business management issues have only recently become a priority among nonprofit managers. Indeed, to date, only two studies shed any light on its influence in the nonprofit sector. Smith and Shen (1996) determined, based on interviews with nonprofit managers, that nonprofit organizations with better peer reputations seem to be better resourced. Tassie *et al.* (1996), who sought to clarify the process through which funders evaluate fundees, found that the reputation of a candidate fundee, as assessed by the funders' review panels, has a greater impact than submitted data on the comparative evaluation of the fundee relative to other, similar candidates. Based on interviews with four social service organizations, the authors developed a multidimensional framework for understanding the evaluation processes used by funders. According to this framework, reputation is a non-formal, primarily agency-level dimension of evaluation utilizing the opinions of groups that the evaluator considers important. The implicit assumptions behind this evaluative dimension are that the beliefs about an agency

(or its program) held by representatives of organizations in associational networks (eg other agencies, other funders, umbrella groups) are important, and can be accepted as valid judgments.

More research on the influence of peer reputation in the nonprofit sector is needed. As cutbacks in government spending and the subsequent competition for grants and donations increase, nonprofit organizations are giving greater priority to strategic planning, marketing, and public relations. This is evidenced by the fact that nonprofit organizations are increasingly hiring managers with these skills or providing training in these areas for their existing staff (Kattelus and Clifford, 2000). A better understanding of the variables, such as reputation, that might be expected to influence nonprofit performance must be developed to help nonprofit managers increase and improve their strategic planning efforts.

RESEARCH QUESTION

Previous, qualitative studies have suggested that having a strong reputation among peers is important to performance in the nonprofit sector, but there has been no empirical proof of this to date. This paper seeks to evaluate empirically the role that peer reputation plays in the management of nonprofit organizations. Social service organizations are the focus of this research because they account for a large, well-established portion of the nonprofit sector in Canada. They are also typical of most nonprofits in that, unlike for-profit organizations, their revenues primarily come from sources other than customers. For this study, the authors examined human service agencies directed at people who are vulnerable and in need, including children and youths, people with physical and developmental disabilities, and aboriginal people (Ontario Ministry of Community, Family and Children's Services, 2003).

CONCEPTUAL MODEL

A conceptual model was developed based on peer reputation, resource acquisition and three other nonprofit performance dimensions. Multidimensional performance evaluation is a well-established concept in nonprofit management theory (Forbes, 1998; Stone and Crittenden, 1993) because no variable similar to 'profit' exists to measure performance in this sector. Despite the widespread acceptance of multidimensionality, however, few scholars other than Herman have attempted to define the nonprofit performance dimensions, and no others have supported their theories with subsequent research (Herman and Heimovics, 1994; Herman and Renz, 1997). Therefore, Herman's principles and recommendations were used to develop a set of nonprofit performance variables for this study.

Herman (1990) contends that nonprofit performance is comprised of four key dimensions: peer reputation, resource acquisition, client satisfaction and outcomes. The first three dimensions are self-evident and can be measured using similar terms across the nonprofit sector. 'Outcomes' are not as simple to deal with, however, because they are often specific to particular nonprofit organizations, referring to measures as diverse as student achievement scores and patient mortality rates (Herman, 1990). Since research attempting to uncover findings that are generalizable across the nonprofit sector should use performance dimensions that represent widely-shared criteria of effectiveness (Herman and Heimovics, 1994), and outcome indicators of nonprofits' effectiveness are limited (Herman and Renz, 1999), outcome measures were not included in this study. Instead, two other performance factors — the ability to partner with other nonprofit organizations and governance effectiveness — were included based on recent case studies and

discussions in the nonprofit literature. These factors have received a considerable amount of attention in recent years due to the growing pressure on nonprofits to be more effective and accountable in their disbursement of public and private funds. The ability to establish meaningful, effective relationships and to work with other institutions is now viewed as essential to a nonprofit organization's capacity to achieve success (Grubbs, 2000). Similarly, the influence of top managers and boards of directors on organizational success is increasing with calls for nonprofits to take a less programmatic orientation in their management and to focus on building long-term organizational capacity (Renz, 2001). These two factors were selected for this study because they are key contemporary aspects of nonprofit organizational performance, applicable to all organizations in the social services subsector, and relevant to the relationships between client satisfaction, peer reputation and resource acquisition, as will be discussed below.

Model and Hypotheses

A critical first step in developing a set of hypotheses about the inter-relationships among the five performance dimensions is recognizing that, unlike in the for-profit sector, the link between client satisfaction and resource acquisition cannot be taken for granted in the nonprofit sector. This is because in most nonprofits, and certainly in those that provide social services, clients are not a source of revenue. Rather, revenues and other financial support come from governments, foundations, and funding agencies, such as the United Way. The relationship between client satisfaction and resource acquisition is therefore indirect and mediated by other constructs. It is hypothesized that all three of the remaining dimensions being investigated in this study mediate this relationship:

H₁: *Client satisfaction has a direct relationship with the ability to partner with other nonprofit organizations.*

Although there is no empirical support for this hypothesis, logically, having satisfied clients makes an organization attractive to other nonprofit organizations. Other nonprofits want to work with nonprofit organizations that know how to deal effectively with clients.

H₂: *In turn, the ability to partner with other nonprofit organizations has a direct relationship with resource acquisition.*

Due to today's resource limitations, collaboration is often encouraged by large funders interested in system rationalization, ie finding the optimum set of organizations for the delivery of a particular set of services. These funders provide financial incentives for agencies to work together or threaten to cut their funding if they do not (Murray, 1997).

H₃: *Client satisfaction has a direct relationship with peer reputation.*

Research has shown that arts and culture organizations that manage with their audiences in mind, and thus enjoy higher levels of client satisfaction, have stronger peer reputations (Gainer and Padanyi, 2002). This should be generally true for all nonprofits, since having satisfied clients should result in favorable word of mouth for any organization throughout its community.

H₄: *In turn, peer reputation has a direct relationship with resource acquisition.*

Peer reputation influences the review panels working on behalf of governments, foundations and funding agencies to either provide or withhold support for an applicant organization (Tassie *et al.*, 1996).

H₅: *Client satisfaction has a direct relationship with governance effectiveness.*

Having satisfied clients allows an organization to devote more time to strategically managing its operation and advancing its cause. Organizations with dissatisfied clients are distracted from these higher-level efforts by having to deal with poor service delivery and to fix problem programs.

H₆: *In turn, effective governance has a direct relationship with resources.*

Boards that are seen as effective serve as financial watchdogs and keep their organizations out of debt through their fundraising activities (Bradshaw *et al.*, 1992), while effective board and staff relations and leadership move an organization from a clear mission, to the development of plans with priorities, to raising the necessary financial resources (Stubbs, 1998).

In addition to the above relationships, it is further hypothesized that peer reputation is positively influenced by both an organization's ability to partner with other nonprofit organizations and its governance effectiveness:

H₇: *The ability to partner with other nonprofit organizations has a direct relationship with peer reputation.*

Institutional theory applied to nonprofit organizations suggests that organizations in the same field often form informal associations to exchange information and share interpretations of what is occurring in their environment (DiMaggio and Powell, 1983). Building on this, Murray maintains that it is common for such networks to influence the reputation of individual organizations in terms of their trustworthiness, status and legitimacy (Murray, 1997).

H₈: *Governance effectiveness has a direct relationship with peer reputation.*

It is generally accepted in the nonprofit sector that having a board of directors and an executive director that function well together will have a strong positive influence on the organization's success in achieving its goals.

Given the research question posed for this study (the evaluation of the role that peer reputation plays in the management of nonprofit organizations), H₃, H₄, H₇, and H₈ are the key parameters of concern in this study.

Together, the eight hypotheses cited above result in the model provided in Figure 1.

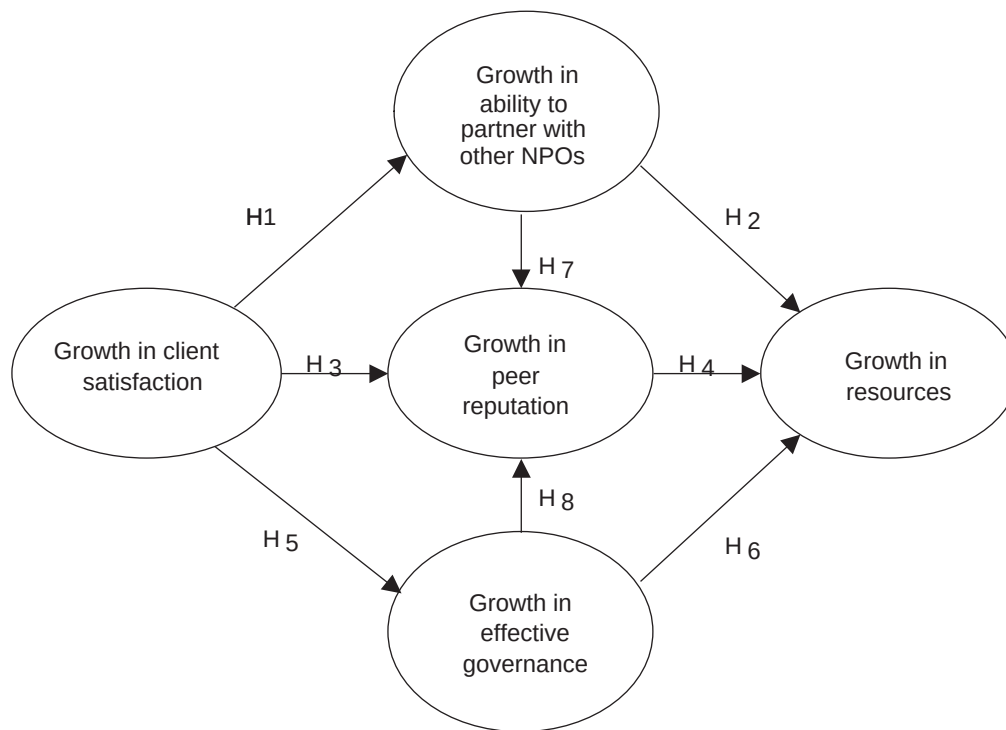
METHOD

To test the hypotheses, a ten-page, 146-question survey was sent to the executive directors or general managers of 816 social service organizations in the Greater Toronto and Greater Montreal areas in

Canada. Executive directors were selected as the sources for this study because they are most likely to be able to provide the required information. They are generally held responsible for organizational success by their organizations' various constituents (Cutt *et al.*, 1996) and are, therefore, likely to be the most informed sources of information about their organizations and to base their effectiveness judgments on substantive outcomes rather than anecdotal evidence (Herman and Renz, 1997).

The organizations that the surveys were sent to were drawn from the 1999 editions of the *Blue Book of Toronto* and the *Blue Book of Montreal*. These are annual directories of community services offered in these two metropolitan areas. Surveys were provided in both English and French. The initial mailing occurred in early September 1999. This was followed by reminder post-

Figure 1: The inter-relationship of performance dimensions in nonprofit organizations



cards in mid-September 1999 and a second wave of survey mailouts in mid-October. A total of 752 qualified organizations were actually reached, and 205 qualified organizations returned good and complete data and were included in the analysis. The response rate of 27.3 per cent is very good for a mail survey conducted in these cities, particularly among nonprofit organizations in which managers' time is extremely limited.

The organizational performance measures used in this study were developed on the basis of a pre-study conducted in 1997. A total of 66 performance items were tested in the pre-study. In keeping with the process for scale development proposed by Churchill (1979), these items were checked for content validity by practitioner experts (managers of the United Way of Greater Toronto), and modified per their suggestions prior to being fielded (Padanyi, 2001).

Performance questions were framed in terms of the growth over time. Specifically, respondents were asked to judge the current performance of their organization compared to its performance five years ago. This approach is based on Herman and Renz's argument that 'nonprofit organizational effectiveness is always a matter of comparison' to the past or others (Herman and Renz, 1999: 110). It is a particularly appropriate method for measuring reputation because reputations are dynamic and evolve over time (Bennett and Kottasz, 2000); they always have a time lag effect (Herbig and Milewicz, 1995), nullifying the value of 'snapshot' or short-run indicators.

Based on pre-study data and additional respondent suggestions, respondents in the current research answered 24 performance items. Factor analysis narrowed this to 18 items, which loaded on five factors interpreted as growth in resources, growth in client satisfaction, growth in peer reputation, growth in the ability to partner with

other nonprofit organizations, and growth in governance effectiveness. The Cronbach's alphas for each of the five resultant scales were 0.85, 0.88, 0.84, 0.92 and 0.71 respectively — above the 0.7 threshold accepted for reliability (Nunnally, 1978). The items used in the five scales are listed in Figure 2. Factor analysis results are provided in Table 1.

A leading structural equations modeling program, EQS, was used to analyze the data. Structural equation modeling was used to assess model fit because it can estimate all of the equations in a model simultaneously. Pairwise deletion was employed to minimize loss of data.

RESULTS

The model was tested for overall fit using several recognized 'goodness of fit' measures, while the significance of each of the individual parameters (hypotheses) was examined on the basis of t-values.

The main overall 'goodness of fit' measures were: (a) chi-square, the most widely-used measure — the smaller the value, the better the fit, with values below 3 preferred for chi-square divided by degrees of freedom; and (b) the probability of chi-square — a good fit is indicated by a p-value greater than 0.05 (in other words, an insignificant chi-square indicates that there is no significant difference between the hypothesized model and the actual data set). Other measures used were the root mean square error of approximation (RMSEA) and the comparative fit index (CFI), which are generally recommended for assessing the fit of structural equation models (Byrne, 1994) because they correct for the key weakness of chi-square, ie its failure to take into account sample size. RMSEA values below 0.08 and CFI values greater than 0.95 indicate a good fit. Final checks on overall fit were provided by looking at the normed fit index (NFI), for which values greater than 0.9 are desirable,

and the average off-diagonal standardized residual (AOSR), for which values less than 0.05 are preferred.

Overall, structural equation modeling (SEM) results indicate that the model fits the data well, confirming that the relationship between growth in client satisfaction and growth in resource acquisition in social service organizations is mediated by

growth in peer reputation, growth in the ability to partner with other nonprofit organizations and growth in effectiveness governance. Detailed overall results are provided in Table 2.

More important to this study, though, are the SEM results for the individual parameters. They indicate that the causal relationships among the mediators are not

Figure 2: Organizational performance items

Please circle the number that indicates how your organization has performed OVER THE PAST FIVE YEARS in terms of the following criteria.

(1 = declined significantly; 2 = declined somewhat; 3 = been stable; 4 = increased somewhat; 5 = increased significantly)

CLIENT SATISFACTION

1. Level of client satisfaction with your organization's volunteers and paid staff.
2. Level of client satisfaction with the TYPE of programs, activities, or services your organization provides.
3. Level of client satisfaction with the QUALITY of programs, activities, or services your organization provides.

RESOURCES

1. Size of your organization's annual operating budget.
2. Overall dollar amount of funding/revenues.
3. Dollar amount of funding/revenues received from government funders.
4. Number of paid staff.
5. Sustainability of your organization in terms of working capital.

PEER REPUTATION

1. Reputation among other nonprofit organizations for attracting skilled staff and committed volunteers.
2. Reputation among other nonprofit organizations for achieving its mission.
3. Reputation among other nonprofit organizations for attracting financial resources.
4. Effectiveness of your organization in achieving its mission.
5. Reputation among other nonprofit organizations for program/activities/services delivery.

ABILITY TO PARTNER WITH OTHER NONPROFIT ORGANIZATIONS

1. Ability to initiate productive working relationships with other nonprofit organizations.
2. Ability to nurture and maintain productive working relationships with other nonprofit organizations.

GOVERNANCE EFFECTIVENESS

1. Effectiveness of governance by the board of directors.
2. Effectiveness of the relationship between the executive director and the board.

Table 1: Factor analysis results

<i>Scale/Items</i>	<i>Factor 1</i>	<i>Factor 2</i>	<i>Factor 3</i>	<i>Factor 4</i>	<i>Factor 5</i>
Factor 1					
Size of your organization's annual operating budget	0.849				
Overall dollar amount of funding/revenues	0.828				
Dollar amount of funding/revenues received from government funders	0.732				
Number of paid staff	0.730				
Sustainability of your organization in terms of working capital	0.571				
Factor 2					
Level of client satisfaction with your organization's volunteers and paid staff		0.828			
Level of client satisfaction with the TYPE of programs, activities, or services your organization provides		0.696			
Level of client satisfaction with the QUALITY of programs, activities, or services your organization provides		0.685			
Factor 3					
Reputation among other nonprofit organizations for attracting skilled staff and committed volunteers			0.745		
Reputation among other nonprofit organizations for achieving its mission			0.671		
Reputation among other nonprofit organizations for attracting financial resources			0.638		
Effectiveness of your organization in achieving its mission			0.609		
Reputation among other nonprofit organizations for program/activities/services delivery			0.587		
Factor 4					
Ability to initiate productive working relationships with other nonprofit organizations				0.906	
Ability to nurture and maintain productive working relationships with other nonprofit organizations				0.862	
Factor 5					
Effectiveness of governance by the board of directors					0.856
Effectiveness of the relationship between the executive director and the board					0.800
Interpretation	Growth in resources	Growth in client satisfaction	Growth in peer reputation	Growth in ability to partner	Growth in gov. effect
Eigenvalue	3.367	2.761	2.695	1.876	1.808
Per cent variance	14.0	11.5	11.2	7.8	7.5

Table 2: Detailed SEM results

Overall fit ($n = 205$)			
$\chi^2 (2df) = 2.771$	$\chi^2/df = 1.385$	probability of $\chi^2 = 0.250$	
RMSEA = 0.045	CFI = 0.997	NFI = 0.989	AOSR = 0.022

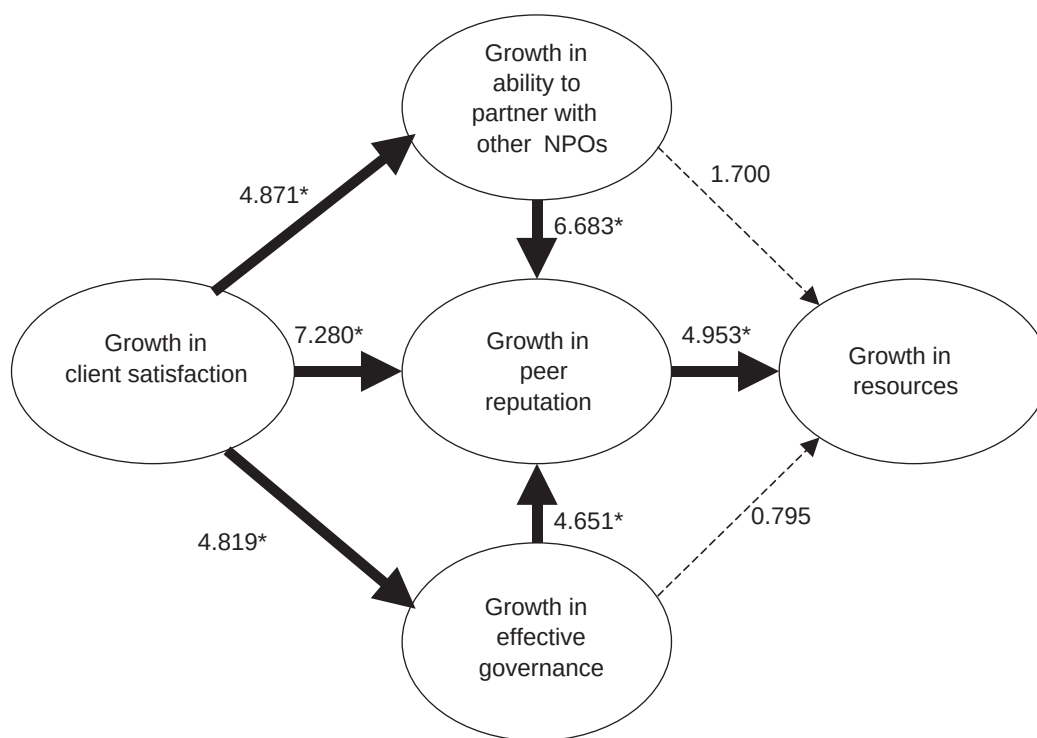
entirely as hypothesized. An updated model reflecting parameter t-values is provided in Figure 3. In this version of the model, heavy arrows indicate significance at the $p < 0.01$ level and dotted lines indicate non-significance. As can be seen, peer reputation is an even more central performance dimension among social service organizations than anticipated. Client satisfaction, partnering and governance are important, but only insofar as they predict

peer reputation. Peer reputation is the only performance dimension that is a significant predictor of resource acquisition. This model explains 24.5 per cent of the variance in growth in resources.

CONCLUSIONS AND DISCUSSION

This paper is the first empirical study to confirm the contention of Smith and Shen (1996) and Tassie *et al.* (1996) that peer reputation is a significant predictor of

Figure 3: The inter-relationship of performance dimensions in nonprofit organizations



* $p < 0.01$

resource acquisition in the nonprofit sector. Indeed, peer reputation is the only one of the variables studied that directly predicts resource acquisition. The other variables that were hypothesized to directly affect resource acquisition, the ability to partner with other nonprofit organizations and governance effectiveness, turned out to have significant relationships with growth in resources only insofar as they affect peer reputation. This may be because, for the most part, neither one can be directly observed by funding decision makers or be objectively measured in funding applications. Indeed, it is likely that any evidence provided to show an organization's ability to collaborate with others or its management effectiveness consists of anecdotes and examples selected specifically to put the organization in a positive light.

That peer reputation is an important construct in nonprofit management is not surprising when one considers that peers can be characterized as the 'aware' or 'attentive' type of public for all organizations. According to Hallahan (2000), the members of 'aware' or 'attentive' publics have well-developed knowledge about their industries and are articulate about the origins, processes and consequences of potential issues. They are generally believed to attend to messages about these industries more frequently, and to make sense of them more readily, than others. They are opinion leaders about organizations or situations, making them trusted and knowledgeable advisors to parties seeking to make investment decisions. Thus, particularly in conditions of uncertainty, it is likely that these trusted opinion leaders will have a strong influence on shaping widely-held notions of which organizations are worthy of support through the same kind of mimetic processes described by Galaskiewicz and Wasserman in their study of corporate executives attempting to evaluate nonprofit organizations (1989).

Several interesting questions remain to be answered. While the authors hypothesized that a growth in reputation would predict a growth in resources based on knowledge of the grant-making process in Canada, previous researchers in reputation have suggested that the opposite is true (Fryxzell and Wang, 1994). The statistical evidence presented in this paper confirms the directionality of the authors' hypothesis but further investigation using data that lend themselves to a reciprocal model could perhaps shed more light on this important issue. Similarly, possible reciprocal causation between growth in resources and other endogenous variables could be explored through a dataset that incorporates a larger number of independent exogenous variables.

There are some key limitations to this study. The first is the fact that chains of causation are hypothesized as happening over time, yet they are tested on cross-sectional data. While this approach is consistent with previous research (Dawes, 2000), a better test of the research hypotheses would be provided by analyzing longitudinal data.

A second limitation of this study is that it is based on data reported by executive directors and other senior managers about their own organizations. These individuals were targeted to complete the questionnaires because they have the best vantage point for commenting on the complete range of data sought about the organizations in the study. It could be argued, though, that they do not report accurately about the esteem in which they are held by clients or peers and have a tendency to inflate these items. If variance in this measure is reduced by systematic reporting of high scores, however, it serves as a conservative test of the hypotheses and presumably the findings would be even stronger with more variance in the measures of client satisfaction and reputation. Nevertheless, stronger evidence for a causal link

among the constructs in the model would be provided by a direct measure of client satisfaction based on client perception, and a direct measure of peer reputation based on peer perception. Further research into the relationship between reputation and other performance variables would benefit from the use of more complex data collection from a variety of stakeholders.

The final limitation is that the results of this study may apply only to social service organizations and not to the entire range of nonprofit organizations. In Canada, social service organizations typically rely more heavily on grants from public and private sources to sustain and expand their programs than other types of nonprofit organization, such as those in the arts and culture and community benefit fields, which typically receive a larger part of their revenues from membership or user fees. A question for further research, then, is to investigate the degree to which peer reputation also affects nonprofits in these fields, because many of them rely to a significant extent on public sources of support and private donations, which are often influenced by the same decision processes discussed earlier.

Despite these limitations, from a scholarly perspective, this study makes several important contributions to the reputation literature. It makes an empirical link between reputation and the achievement of a key organizational goal, a feat accomplished by few studies to date (Hutton *et al.*, 2001). It also underlines the complexity of reputation by supporting the oft-cited theory that organizations have multiple reputations (Bromley, 2001; Caruana, 1997; Nguyen and Leblanc, 2001). Furthermore, it supports Herman's recommendation that peer reputation should be recognized as an organizational goal in the nonprofit sector (Herman, 1990). Such recognition is warranted at this time by the likelihood that peer reputation will increase in importance as competition for financial

and human resources increases in the nonprofit sector, and as dependency upon a constant stream of new donors, staff and volunteers grows (Hutton *et al.*, 2001).

From a management perspective, it is apparent from this study that nonprofit organizations need to recognize that peer reputation is a key strategic variable, the importance of which cannot be overlooked. While other performance variables affect peer reputation, this aspect of performance appears to be the sole variable with a direct relationship with resource acquisition — at least in the social services subsector. This finding has three implications for nonprofit managers:

1. Managers need to constantly monitor and assess the outcomes of their actions in terms of how their peers evaluate their organization. It is not enough to focus on client satisfaction or effective governance, it is also necessary to make sure that these achievements are perceived and assessed positively by other nonprofit managers.
2. Despite the results of this study, managers do not need to start spending time or money on direct attempts to influence peer reputation through specific marketing or public relations programs. This type of reputation is predicted by organizational outcomes that arise directly from appropriate uses of organizational resources to achieve mission-based outcomes, and it thus appears that a good reputation will result from the organization focusing on high performance in core, mission-driven activities such as service to clients.
3. Since peer reputation is predicted by a number of factors, managers need to achieve high performance across a number of dimensions and cannot focus exclusively on one aspect of their operations, such as client service and satisfaction. A drop in even one dimen-

sion of organizational performance can affect peer reputation, and thus resource acquisition, even if the organization is succeeding well in other areas. Managers must remain aware that their peers are evaluating non-service aspects of their performance such as the ability to partner and to achieve good and effective governance. If peers do not observe high performance in these areas, it is unlikely the organization will be able to achieve the growth in resources that one might expect to follow the achievement of a high level of client satisfaction.

In summary, this paper contributes to both the theory and practice of nonprofit management by highlighting the key mediating role played by peer reputation in multi-dimensional organizational performance and the need to build that reputation in order to allow nonprofit organizations to flourish.

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